

Multiple Choice (10 marks)

1. What is a monopoly?
 - (a) A monopoly is a company that has no control over the market.
 - (b) A monopoly is a government-run entity that controls all aspects of a market.
 - (c) A monopoly is a business that can set its own prices.
 - (d) A monopoly is a firm which is the sole producer of a good.
 - (e) A monopoly is a market structure with only two firms competing against each other.
2. What is the primary objective of management in managerial economics?
 - (a) maximization of the firm's value
 - (b) minimization of costs
 - (c) maximization of market share
 - (d) minimization of environmental impact
 - (e) maximization of social welfare
3. The price elasticity of demand for a product is greater if
 - (a) the proportion of the good of the consumer's budget is high.
 - (b) the number of substitute products is limited.
 - (c) the product is unique and has no substitutes.
 - (d) the consumer has a high income.
 - (e) the period of time to respond to a price change is short.
4. At the peak of a typical business cycle which of the following is likely the greatest threat to the macroeconomy?
 - (a) Unemployment
 - (b) Overproduction of goods and services
 - (c) Bankruptcy
 - (d) Reduced consumer spending
 - (e) Decreased interest rates
5. If people expect the price of a particular product to increase in the near future
 - (a) this will increase the supply of the product.
 - (b) this will cause the producer to decrease the supply of the product.

- (c) this will not affect the demand for the product now or later.
- (d) this will decrease the supply of the product.
- (e) this will increase the demand for the product.

True / False (10 marks)

Answer True or False

- 6. True or False: When a positive externality exists, the marginal social benefit exceeds the marginal social cost at the market quantity.
- 7. True or False: The final model produced by the general to specific approach will always be statistically adequate.
- 8. True or False: The GDP Deflator is used to calculate inflation rates and serves as an alternative to the Consumer Price Index (CPI).
- 9. True or False: An increase in the standard of living can occur even if the cost of living and population have increased simultaneously.
- 10. True or False: The elimination of a protective tariff on imported steel leads to a decrease in the demand for domestic steel.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the fundamental differences in price determination between centrally planned and capitalist economies, and analyze the implications of these differences on the roles prices play in each system.
- 12. Discuss the chief characteristics of the British brand of socialism, analyzing its evolutionary approach, government involvement in industries, and social welfare policies.

End of Paper